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Behind the gate: The promises and perils of private markets democratization

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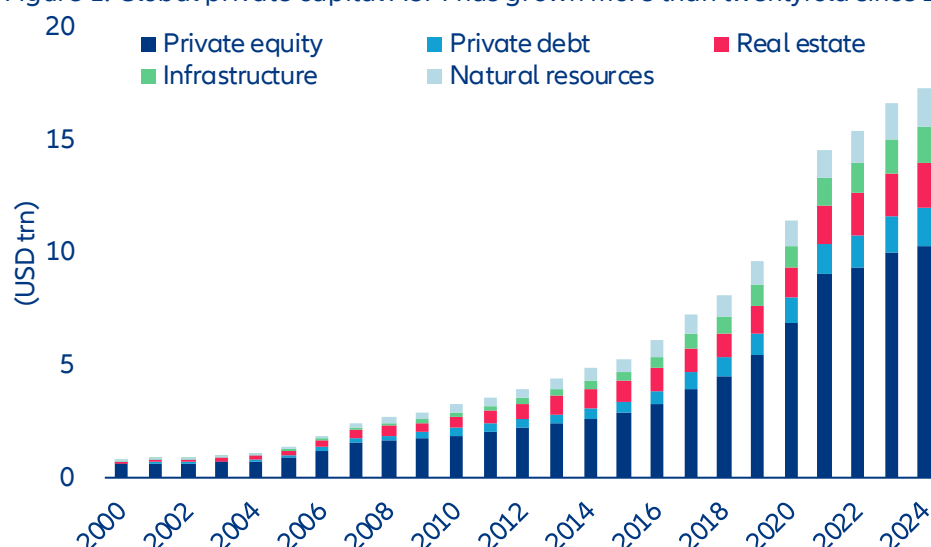
In Summary

- **Private markets are opening up to retail, and the product has to be rebuilt to fit.** Global private markets have grown more than twentyfold since 2000 to over USD17trn, propelled by institutional adoption of the Yale endowment model that tilted long-duration capital aggressively into illiquid assets. The next leg of growth runs through wealth channels and mass markets, where investors lack the governance, illiquidity tolerance and manager-selection capability. Semi-liquid evergreens have become the workhorse for wealth, while the mass market is reached primarily via DC plans, regulated retail funds, public-private hybrids, and insurance wrappers, structures in which a fiduciary, insurer, regulatory template or the product design itself makes the call rather than the end investor.
- **Three forces have converged to push democratization: savers need enhanced returns and diversification, governments need to mobilize private savings for public priorities and asset managers need new pools.** Diversified private-market exposure can improve portfolio efficiency, lifting expected returns from 6.2% to 7.9% while keeping stressed downside risk (CVaR) around -3% versus -5% for traditional liquid portfolios. Governments see a policy lever to address a USD400trn retirement gap by 2050, growing inequality as value creation stays private and infrastructure needs that public budgets cannot fund. For asset managers, the move is increasingly necessary: institutional fundraising is slowing as the traditional capital pool matures and large LPs reach their target allocations.
- **The pitch is real, but a closer look reveals a more nuanced picture.** First, the return story is compelling at face value: buyout funds have delivered 12-14% annually against 7-9% for public equities. But strip out leverage and most of the private-equity advantage disappears, leaving manager selection as the real driver of outperformance. Second, retail investors face a compounding triple disadvantage compared to institutional products: additional fee layers that erode the illiquidity premium, potentially weaker underlying assets, and no ability to select managers in an asset class where dispersion runs wide. Third, the semi-liquid promise is not illusory, but it comes with conditions; it works in normal market conditions but exposes investors to gates precisely when they want their capital back. Finally, retail money brings reactive behavior into an asset class increasingly tied to banks and life insurers, reintroducing the maturity transformation that closed-end structures had engineered away.
- **The early-2026 slowdown is a stress test, but structural drivers remain intact.** Expect product recalibration toward larger liquid buffers and tighter gating, consolidation toward mega-GPs with the scale and distribution to run retail wrappers and a new round of regulatory scrutiny on disclosure, leverage and liquidity buffers, adding cost but reinforcing product quality.
- **For investors, the dispersion between well- and poorly-built retail vehicles will widen.** Four markers separate institutional-grade retail product from repackaged versions: liquidity sized to the underlying asset, clean separation of retail and institutional pools, independent valuation governance and real manager-selection capability behind the wrapper. For institutional investors, the illiquidity premium will compress and deal-allocation conflicts will emerge as GPs spread a finite pipeline across vehicles with different liquidity profiles, making vigilance on cross-pool transfers essential.

A new investor base, a new product shelf

Private markets were built around institutions and family offices. The 1980s leveraged-buyout boom, fueled by the advent of junk bond markets, lit the fuse; institutional money turned the resulting industry into a colossus. Global private-capital assets under management (AUM) have grown from roughly USD800bn in the early 2000s to over USD17trn by 2024 (Figure 1), more than twentyfold in two decades.

Figure 1: Global private capital AUM has grown more than twentyfold since 2000

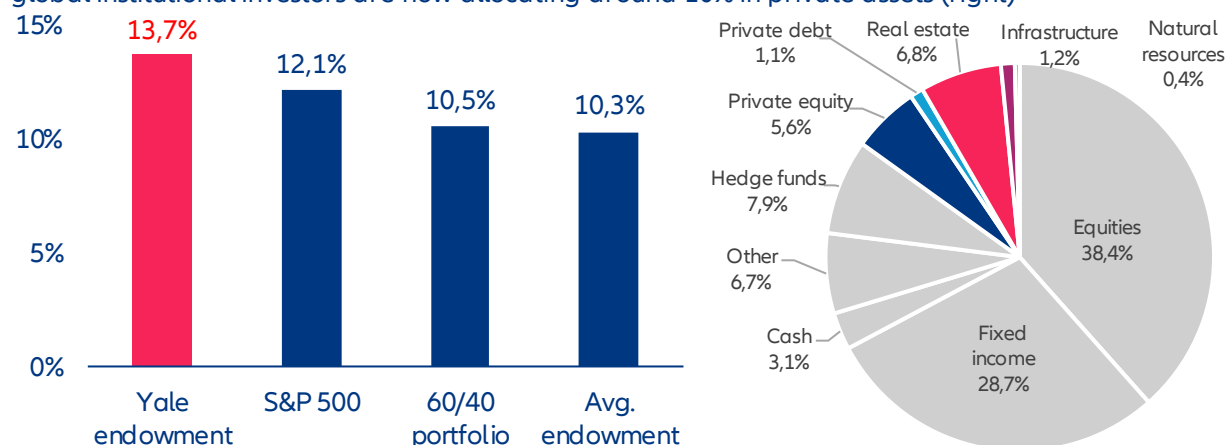


Sources: Preqin, Allianz Research

Note: Secondaries and funds of funds are excluded to avoid double-counting.

The pivotal driver behind the transformation of private markets into a mainstream institutional allocation is Yale's endowment model. When David Swensen took over the university's investment office in 1985, endowments ran the standard 60/40 mix. Over the next three decades he tilted the portfolio aggressively into private assets, arguing that long-duration capital should earn an illiquidity premium that liquid investors could not. By 2021, Yale held roughly 70% in alternatives, nearly ten times the pre-Swensen level, and the portfolio had returned 13.7% a year over Swensen's tenure against 10.5% for 60/40 and 10.3% for the average endowment (Figure 2). Yale's success rippled outward. By the 2010s, the biggest US university endowments held 40-60% in private markets on average. Sovereign wealth funds, public pension funds and insurers followed. Today, global institutional investors allocate around 10% to private assets (Figure 2), with endowments and public pensions allocating more than a third.

Figure 2: The Yale endowment has outperformed traditional benchmarks under Swensen's management (left) and global institutional investors are now allocating around 10% in private assets (right)

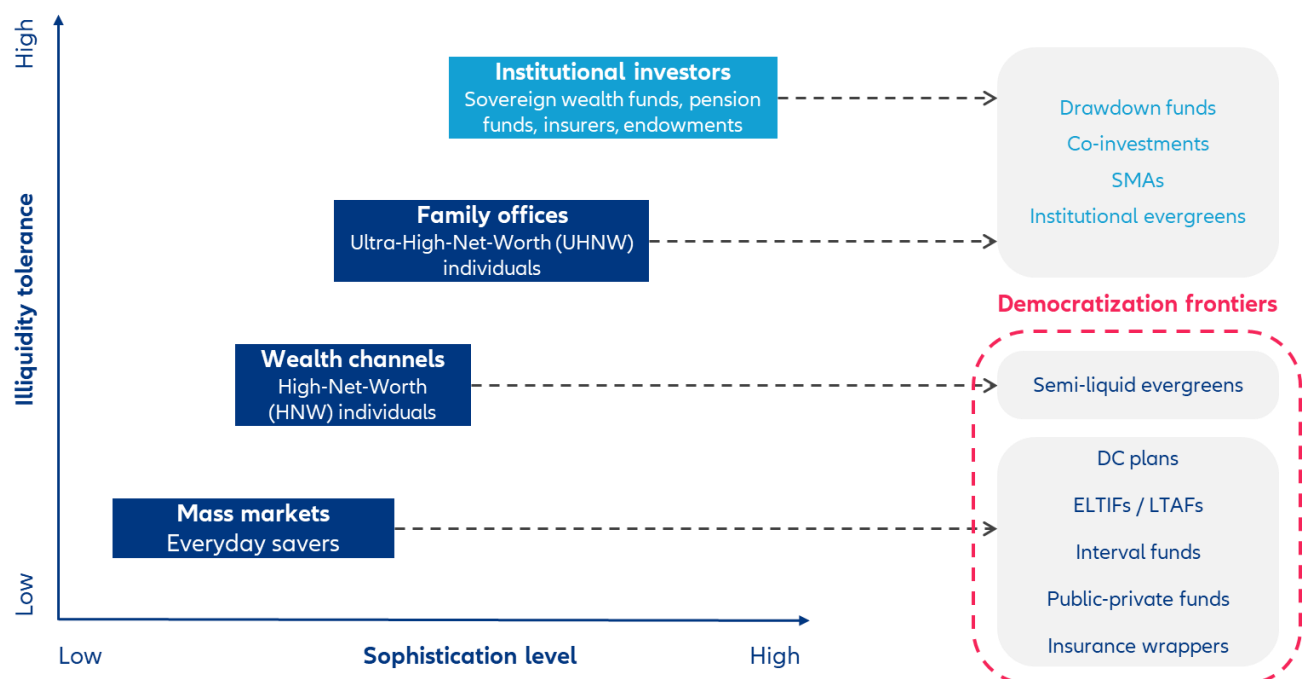


Sources: Bloomberg, The Economist, Preqin, Allianz Research

The fit is natural. Most institutional capital sits in drawdown funds run by general partners (GPs) who source, structure and manage the underlying deals. The 10-year-plus horizon suits pension funds and life insurers with liabilities measured in decades; in-house teams, investment committees and boards do the diligence that opaque assets demand and scale buys both fee leverage and access to the best managers. Beyond drawdown funds, institutions increasingly mix in co-investments (alongside the GP, often at low or zero fees), separately managed accounts (SMAs, typically USD100mn-plus, fully customized) and open-ended evergreens (operational simplicity and continuous liquidity, no J-curve). Together these tools let institutions calibrate exposure with a precision the conventional fund template cannot match. **Family offices, the private treasuries of the ultra-wealthy (a USD 30mn threshold, though in practice more is needed to access large GPs), follow the same model in miniature.** They vary in sophistication but use the same vehicles to reach the same managers, sometimes on slightly worse terms.

Now, the action has moved to the wealth and mass-market channels, where investors' needs are entirely different. "Democratization" means giving private-market access to those locked out of the institutional product suite and that requires more than lower minimums. It calls for fresh product design, with new trade-offs between liquidity, fees, transparency and asset quality (Figure 3).

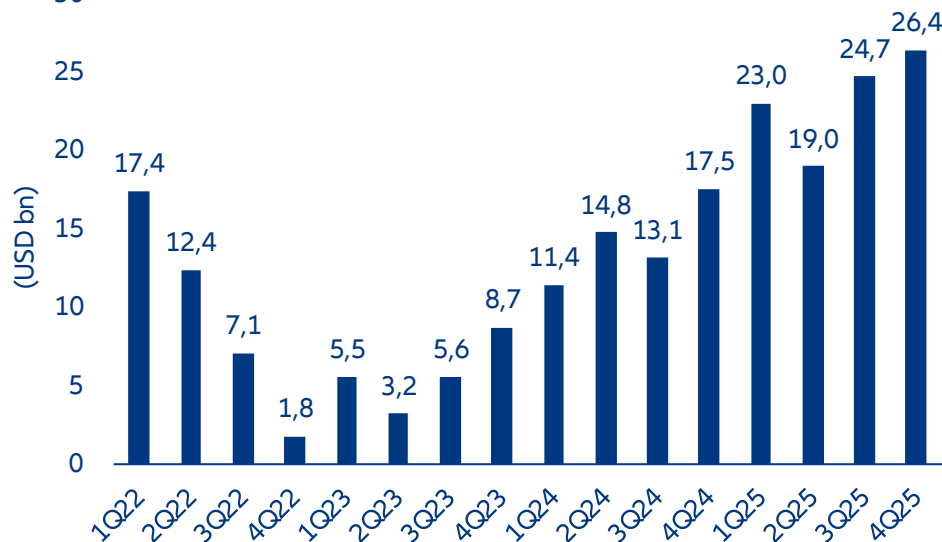
Figure 3: Investor segmentation and product structures across the wealth pyramid



Source: Allianz Research

The wealth channel covers the high- and very-high-net-worth segment, growing fast in both numbers and assets. Entry starts at USD1mn of investable assets; the more active VHNW tier kicks in at USD5mn. US households with USD5mn to USD20mn now control 40% of addressable wealth, up from 18% in 2013, turning them from once-niche cohort to a market force. They are too small to deal with GPs directly and reach private markets through private banks, wealth managers and financial advisers. This is the most commercially mature corner of democratization, and one of the fastest-growing. Inflows to the major listed alternative-asset managers have surged over the past three years, topping USD25bn in the fourth quarter of 2025 alone (Figure 4). US financial advisers now allocate USD1.9trn to less-than-fully-liquid strategies, but the average adviser still has only 2.3% of client portfolios in alternatives, and roughly half use none at all. The runway is long.

Figure 4: Net inflows to wealth products offered by major listed alternative managers have surged since early 2023



Sources: JP Morgan, Allianz Research

The mass market is a much bigger prize, and a wholly different machine. Its investors have less investment expertise than institutions, shorter effective horizons and no practical capacity to select managers themselves, which is why the channel is built around fiduciaries, insurers and regulated structures that do the selection for them. The US mass affluent and middle-market segments, 46.9m households in all, hold USD25trn of financial assets. The retirement system holds another USD49trn, of which USD14trn sits in employer-sponsored DC plans. In Europe, household savings are mostly parked in low-yielding bank deposits, around EUR10trn across the EU; the next-largest pool is unit-linked insurance, notably France's assurance-vie, Italy's PIR and Germany's equivalents.

Three structural differences set wealth-channel investors apart from institutions. They lack the governance infrastructure, they are less tolerant to illiquidity and they reach private markets through intermediaries whose operating models demand standardized features that fit into model portfolios. The result is a generation of products engineered for accessibility, with performance pursued within those constraints rather than at any cost. Semi-liquid evergreens have become the workhorse: quarterly subscription and redemption windows, no capital calls, simplified fees and standardized tax reporting. Each feature addresses a specific constraint. Well-engineered evergreens, with adequate liquidity buffers and disciplined valuation, can deliver a meaningful share of the institutional return profile to investors who previously had no access at all.

Reaching the mass market requires a different paradigm. The end investor no longer chooses the product directly; instead, the structure has to satisfy a fiduciary or regulator that it is suitable for an average participant. The result is a new range of vehicles, each tailored to a specific regulatory category or savings product rather than evaluated on its own merits. New structures are launching in every major jurisdiction; the main channels are defined contribution (DC) plans, ELTIFs and LTAFs, interval funds, public-private hybrids and insurance wrappers.

The deepest pools sit inside existing retirement and savings systems. US DC plans, accessed mainly through target-date funds with embedded private-market sleeves, are the largest mass-market pool in the world: USD14trn of employer-sponsored DC assets, including roughly USD10trn in 401(k)s. European insurance wrappers play the same role in the savings sector, with the insurer handling manager selection, valuation oversight and liquidity management for the policyholder. Both work precisely because they do not demand investment expertise of the end investor: the fiduciary or insurer takes on the discipline that retail investors lack and would struggle to acquire. The private exposure is bundled inside a familiar structure and the design ensures that no single policyholder's liquidity needs can destabilize the underlying assets. The retail experience is unchanged at the surface; private-market access, properly governed, sits one layer below. For long-horizon savers, this is one of the few realistic routes to the diversification and return premium of private markets without bearing institutional-style governance demands themselves.

Regulated retail vehicles take a more direct path, swapping regulators for fiduciaries. ELTIFs in the EU, LTAFs in the UK and interval funds in the US are standalone retail products an investor or adviser can pick actively, subject to rules on eligible assets, concentration, mandatory repurchases and disclosure. The regulatory framework replaces the institutional governance these products would otherwise lack, which is a large part of their appeal: the regulator has effectively vetted the structure. The cost is product flexibility and the channel has tilted strongly toward private debt and lower-volatility strategies that fit cleanly inside the templates.

Hybrid public-private funds are the newest design, aimed squarely at the liquidity problem. DC plans absorb redemption pressure through fiduciary scale; regulated retail vehicles use prescribed gates; hybrids embed a 30-60% public-asset buffer into the product itself. The public sleeve provides exit capacity; the private sleeve provides the alternative exposure that justifies the fund. The trade-off is return: a 40% private allocation inside a fund that is itself only a slice of a retail portfolio leaves effective private exposure of just a few percent at the investor level. Hybrids are a design solution to mass-market liquidity rather than a route to maximized private-market exposure. Their merit is extending some private-market characteristics to investors for whom pure private vehicles are not workable, accepting a return trade-off in exchange for genuinely daily-liquidity behavior.

The four channels share a single design principle, with different machinery. None assumes the end investor actively chooses the product. The decision rests with a fiduciary (DC plans), an insurer (insurance wrappers), a regulatory template (ELTIFs, LTAFs, interval funds) or the structural design itself (hybrids). This shift in who decides ultimately drives the outcome for investors, and means the routes to mass-market capital are likely to fragment by jurisdiction rather than converge on a single global model.

Why private markets are going mainstream now

For retail investors, the case rests on diversification and better risk-adjusted returns. The evidence is plain: private assets diversify; traditional ones increasingly do not. Since 2022, correlations between public equities and bonds have risen sharply, eroding the protective property of the standard 60/40 portfolio. Modern portfolio theory says that adding assets with low or negative correlations shifts the efficient frontier up and to the left; the correlation matrix in Table 1 backs this up. The numbers are forward-looking, not historical, and reflect today's regime. The arrows mark the largest moves, concentrated among traditional assets that have grown more closely correlated under stagflationary pressure.

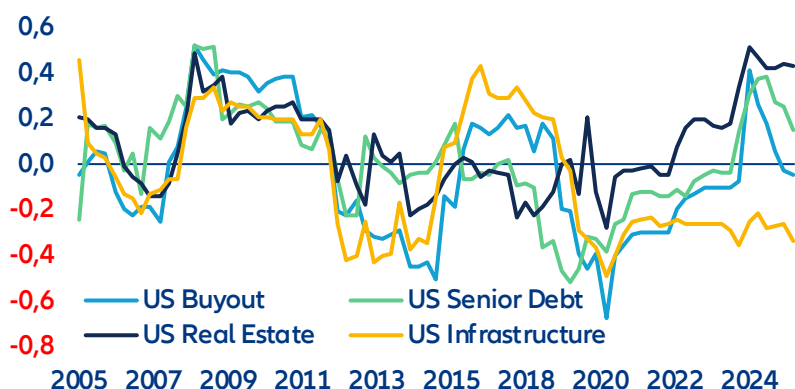
Table 1: Cross asset correlation matrix

	Euro Corporates	Euro High Yield	Euro Covered Bonds	USD Corporates	Equity BAA Aggregate	US Private Equity (Buyout)	US Private Debt (senior)	US Real Estate	US Infrastructure	Euro Government Bonds	Euro Agency bonds	Emerging Markets Bonds	Gold
Euro Corporates	1,00	0,82	0,86	0,77	0,63	0,20	0,31	0,24	0,17	0,80	0,83	0,87	0,47
Euro High Yield		1,00	0,53	0,54	0,82	0,24	0,33	0,20	0,30	0,42	0,48 ▲	0,83	0,43
Euro Covered Bonds			1,00	0,71	0,37	0,21	0,31	0,19	0,20	0,93	0,94	0,70	0,49
USD Corporates				1,00	0,43	0,17	0,23	0,30	0,12	0,72	0,73	0,76	0,53
Equity BAA Aggregate					1,00	0,14	0,26	0,09	0,24	0,28 ▲	0,33	0,74	0,46
US Private Equity (Buyout)						1,00	0,81	0,42 ▼	0,71	0,09	0,10	0,20	0,42
US Private Debt (senior)							1,00	0,43	0,62	0,22	0,25	0,31	0,37
US Real Estate								1,00	0,17 ▼	0,23	0,21	0,17	0,04
US Infrastructure									1,00	0,01	0,03	0,27	0,58 ▲
Euro Government Bonds										1,00	0,98	0,62	0,35
Euro Agency bonds											1,00	0,67	0,38
Emerging Markets Bonds												1,00	0,63
Gold													1,00

Source: LSEG Datastream, Allianz Research

Private assets are consistently uncorrelated with public ones, and barely correlated with each other. As public-market correlations climb, infrastructure stands out as the biggest beneficiary; pair correlations with euro government, agency and corporate bonds are all low. The more striking feature of the matrix is the heterogeneity within the private universe itself: real estate and infrastructure are not substitutes for private equity. The rolling four-year analysis in Figure 6 backs this up. From 2005 to 2026, all four American private asset classes, PE buyout, senior debt, real estate and infrastructure, have averaged correlations close to zero with a 60/40 public portfolio, none above 0.5. The dispersion has widened recently, with infrastructure the most decoupled, even as overall market correlations have climbed.

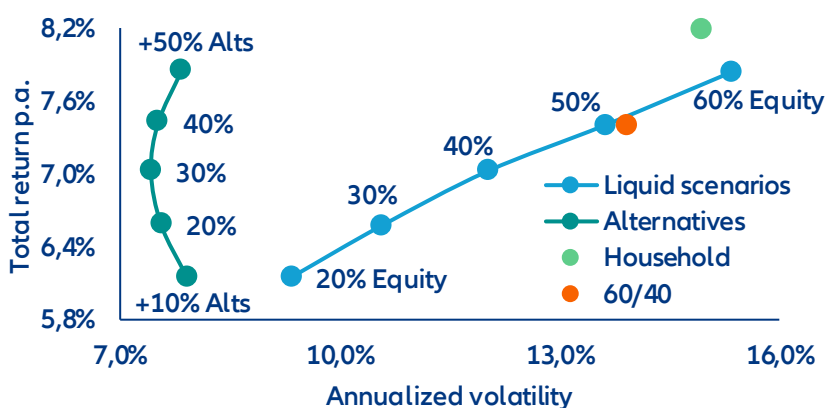
Figure 6: Cross-asset rolling correlations



Source: Pitchbook, Allianz Research

The most compelling quantitative argument for democratization sits in the efficient frontier itself. Figure 7 plots annualized volatility against total return for portfolios ranging from a pure traditional mix of 13 asset classes to ones with progressively larger alternative allocations (10-50%). As the alternatives weight rises, the frontier shifts unmistakably outward: the green alternatives frontier dominates the orange liquid frontier at every point, lower volatility and higher returns with no exceptions. Theory says low-correlation assets should improve the trade-off; the empirical gap is striking. Private assets earn an illiquidity premium without the concentration risk that comes from leaning on public equity, provided investors can stomach the illiquidity and keep enough liquid ballast for market stress. The classic 60/40 (orange dot) and the typical European household (green dot) sit on noticeably higher volatility, since bonds and equities have failed to diversify each other since 2022's stagflation. Owning a home does not fix this; a diversified slice of private markets does. The same pattern shows up in Conditional Value at Risk, which captures downside losses in bad markets and actually fits the non-normal distribution households better than volatility does.

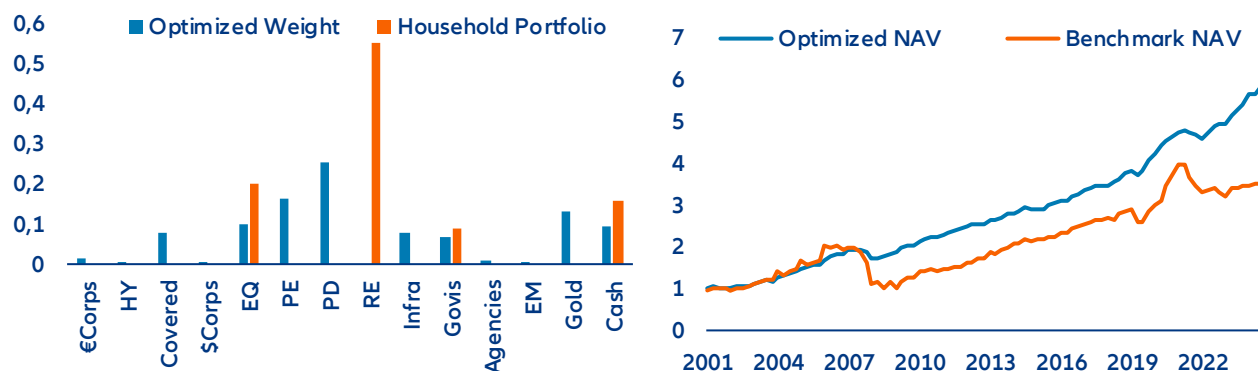
Figure 7: Efficient frontier liquid - illiquid assets



Source: Pitchbook, Allianz Research

An optimizer sharpens the picture. Figures 8 and 9 turn the theoretical frontier into a realized-performance comparison. The optimized portfolio (blue), allocating across alternatives and traditional assets, posts a Sharpe ratio of 2.85, against 0.64 for the typical household benchmark (orange). The optimizer solves one trade-off: maximize risk-adjusted return while penalizing both single-asset concentration and large tail losses (CVaR). It uses market-cap weights, forward-looking assumptions for returns, volatility and correlations, and alternative-history scenarios rather than historical averages, producing an allocation that holds up across regimes. The result: a balanced portfolio, half in private markets, complemented by low-risk bonds, gold and cash. Smaller private allocations still make sense, since the diversification benefit persists across weightings. The right share for any investor depends on their tolerance for risk.

Figure 8: Portfolio allocation in % (left) and portfolio performance (right)



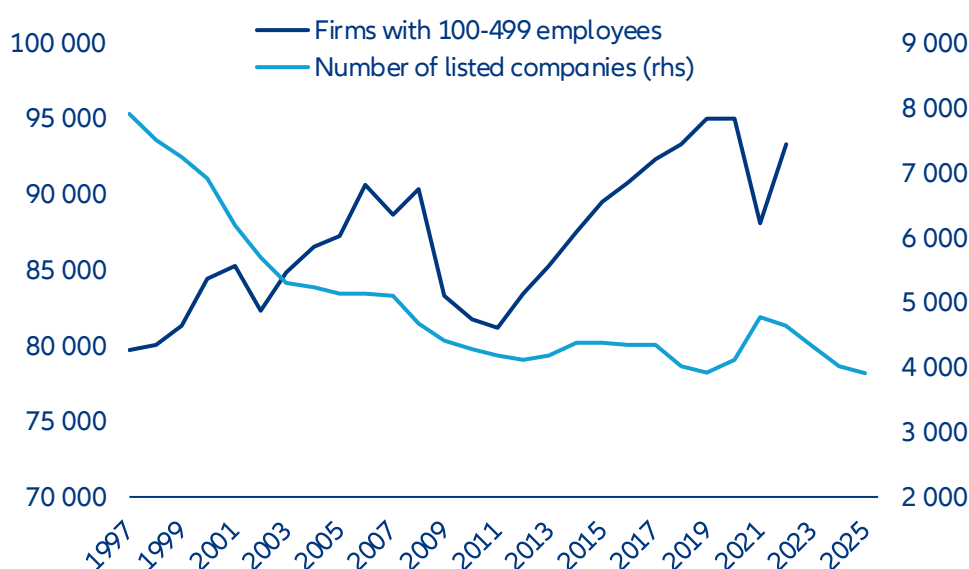
Source: Pitchbook, Allianz Research

For governments, democratization is more than an access question. It is a policy lever for retirement adequacy, distributional fairness and the funding of long-term economic priorities. With public finances constrained and traditional capital sources struggling to keep up, private markets are being repositioned as a way to mobilize household savings.

The most pressing motive is the retirement-adequacy crisis. The shift from defined-benefit to defined-contribution pensions has moved investment risk from employers and governments to individuals, leaving DC participants with portfolios dominated by public equities and bonds. DB plans have long held 15-30% in alternatives and benefited; DC participants have not, and the gap has compounded into a serious shortfall. The global retirement-savings gap is projected to reach USD400trn by 2050, up from USD70trn in 2023. With public-pension systems under strain, widening the DC investment universe is a way to narrow the gap without lifting public spending.

The second motive is inequality. As private markets stay walled off, a growing share of value creation slips out of reach of ordinary savers. The number of US-listed firms has roughly halved since the late 1990s, while the number with fewer than 500 employees has grown by nearly a fifth (Figure 10). Companies stay private for longer, so much of their growth, and the wealth that comes with it, is captured by sophisticated investors with broader access. Ordinary savers, stuck in public equities, watch from the sidelines.

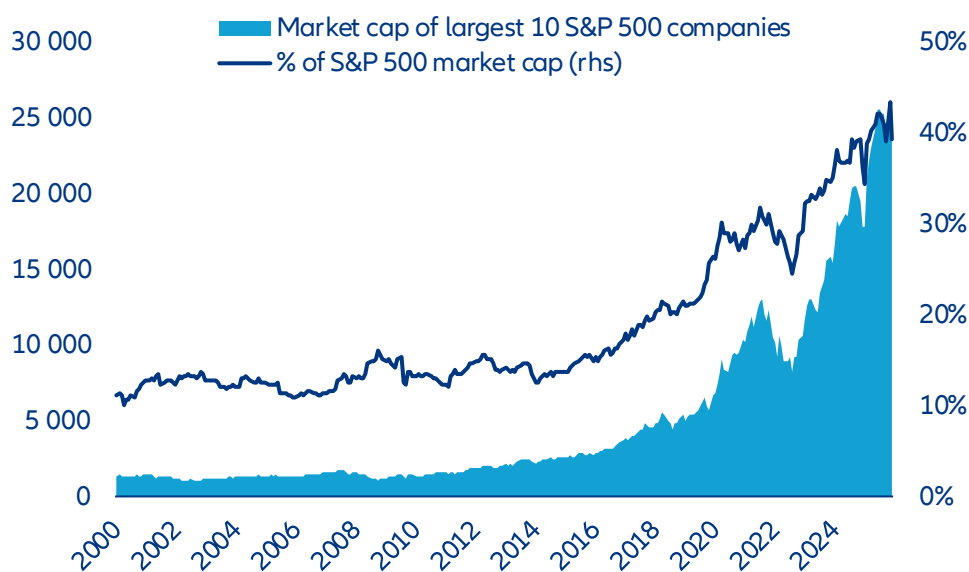
Figure 9: US listed companies have nearly halved while mid-market firms have grown by one-fifth over the past three decades



Sources: US Census Bureau, World Bank, Allianz Research

Public-market concentration is a third motive. The top 10 S&P 500 firms now make up 40% of the index, and US equity benchmarks are more concentrated than at any point since 2000 (Figure 11). Retail investors who hold passive index funds are heavily exposed to a narrow set of large-cap tech names; private assets reach sectors and stages that public indices underrepresent. The case for retail access is not just about returns. It is also about reducing the concentration risk that the passive revolution has, unintentionally, amplified.

Figure 10: S&P 500 concentration has reached its highest level since 2000



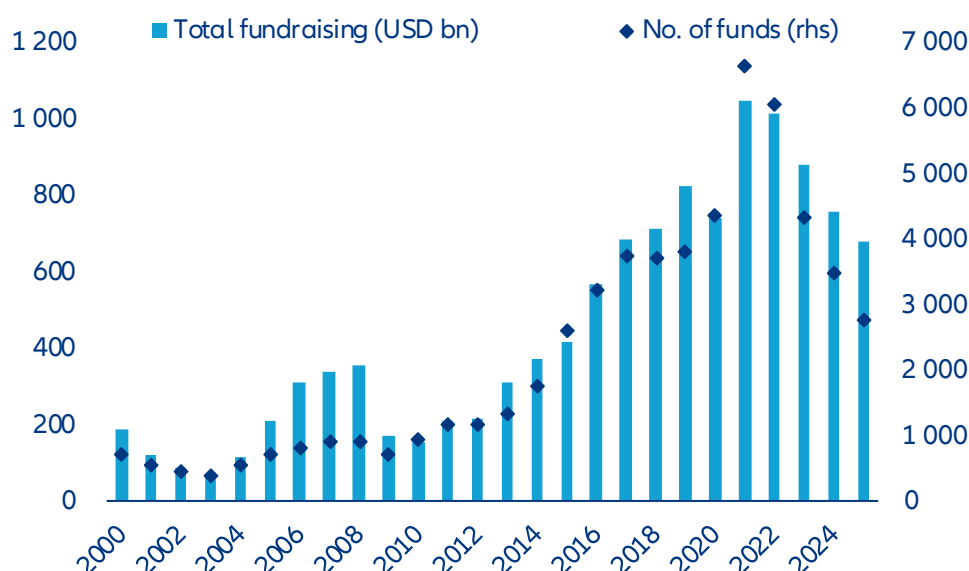
Sources: Macrobond, Allianz Research

Private capital is also being marshaled to fill gaps public budgets cannot. The EU's investment needs for infrastructure, the energy transition and digital transformation are projected at roughly 5% of GDP a year, well beyond what fiscally constrained governments can fund. Europe's EUR10trn or so of household bank deposits is largely unproductive capital. Channeling those savings into infrastructure, growth equity and energy projects through ELTIFs or LTAFs would do two things at once: lift household returns over the long term and deliver real-economy capital that the public purse cannot.

Jurisdictional competition is shaping both the design and the timing of these reforms. US, the EU, the UK, Australia and Singapore are all moving at once, none willing to see domestic savings drift offshore in search of alternatives. Britain's decision to make LTAFs ISA-eligible from 2026 was driven by competition with Luxembourg and Dublin as fund-domicile hubs; France's Green Industry Act was designed to keep retail savings inside the French insurance sector. The race is not just to channel retail capital into private markets, but to do so on one's own terms before a rival captures the flow.

For asset managers, the move into wealth and retail is no longer optional. After decades of rising inflows, institutional fundraising has hit a wall. In 2025, closed-end private-equity fundraising fell to a five-year low (Figure 12), as subdued exits left more than 16,000 portfolio companies held for over four years and LP distributions slowed to a trickle. The 2022 public-market drawdowns produced a denominator effect that left many institutions over their allocation targets, prompting a pause in fresh commitments. Beyond the cycle, the institutions that began private-markets programs in the 2000s have now reached, or nearly reached, their targets. With the traditional capital pool maturing, the industry has pivoted to investor groups that, until recently, had limited access.

Figure 11: PE fundraising volume and fund count have fallen sharply from their 2021 peaks



Sources: Preqin, Allianz Research

Box 1. Policy in motion: bringing private markets into 401(k)s

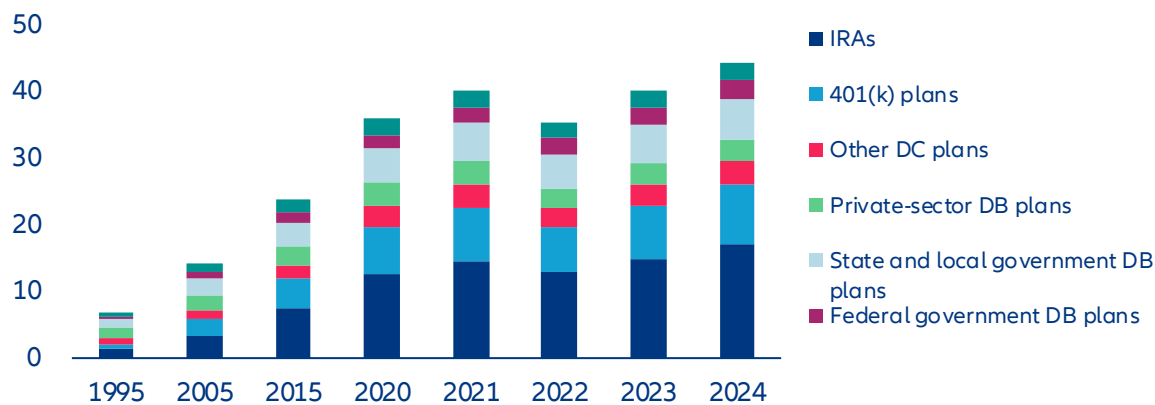
For most of their existence, American 401(k) and other defined-contribution (DC) plans have excluded private-market assets. ERISA fiduciary constraints, litigation risk and operational frictions (illiquidity, valuation complexity, fee opacity) made them poor fits. The SEC's accredited-investor rules further limited direct retail participation, reinforcing the structural divide between DC and defined-benefit (DB) plans. The first significant move came in June 2020, when the DOL issued an Information Letter allowing private equity inside diversified DC options such as target-date and balanced funds, provided it was managed prudently. A December 2021 Supplemental Statement then signaled a pause, noting that most plan sponsors lacked the expertise to evaluate such products properly.

By 2025 the policy had shifted. On 12 August 2025, the DOL formally rescinded its 2021 guidance discouraging 401(k) alternatives. The move aligns with the White House Executive Order on "Democratizing Access to Alternative Assets for 401(k) Investors" and clarifies that exposure to private-market assets may be permitted within diversified options under ERISA. The DOL is now signaling a neutral, principles-based approach: Fiduciaries must judge investment options on their merits and suitability, a clear departure from the earlier practice of singling out specific asset classes for scrutiny.

Congress has lent legislative support. The SECURE Act 2.0 of 2022 facilitated alternative access indirectly, by letting 403(b) plans use Collective Investment Trusts (CITs). CITs are often the preferred vehicle for private-market exposure in employer plans thanks to lower costs and more customization than mutual funds. Together these moves create a coherent policy environment in which private-market exposure can expand within DC plans under existing fiduciary and securities-law frameworks. An alternative investment option that sits inside a well-diversified fund managed by qualified professionals, and that the plan sponsor has documented thoroughly, can sit comfortably within ERISA's duty of prudence. Further sub-regulatory guidance from the DOL is expected, and the SEC may add guidance on valuation and disclosure as more products come to market.

The base effects are substantial. As of Q1 2025, the American DC system held roughly USD12.2trn in assets, compared with USD3.8trn in private and public DB plans. Alternatives make up around 30% of DB allocations but just 0.1% of DC portfolios, so even a modest reallocation would be material in absolute terms. A baseline scenario of 3-5% DC penetration by 2030 would deliver cumulative inflows of USD300bn-400bn; an upside of 10% penetration by 2035 would mean USD1.2trn-1.5trn in new allocations. Adoption is expected to start with large-plan default options that wrap diversified PE and private credit inside multi-asset structures, then diffuse gradually into mid-sized plans as operational frameworks standardize.

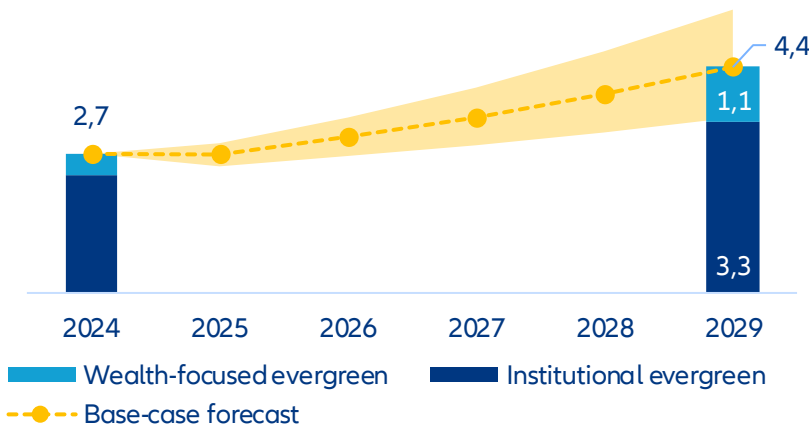
Figure 12: US retirement market assets (USD tn)



Sources: Investment Company Institute, The US Retirement Market, Fourth Quarter 2024, Allianz Research

Product evolution and opportunity set. Capital will flow along the path of least operational resistance. CITs are gaining ground because of their flexibility on liquidity and fees, smooth integration into plan recordkeeping and exemption from certain retail-disclosure requirements under the Investment Company Act. Semi-liquid '40-Act interval and tender-offer funds serve as secondary conduits for smaller, retail-aligned platforms, though their quarterly-liquidity features and higher cost structures may limit early scale. Across both channels, managers are re-engineering fund economics toward evergreen structures with quarterly or semi-annual rebalancing to accommodate DC flows. Pitchbook estimates that roughly \$2.7 tn is now managed in various indefinite-life formats globally, projecting growth to \$4.4 tn by the end of 2029 (Figure 13). Recordkeepers, custodians and administrators are investing in capabilities to support partial redemptions, performance-fee accruals and standardized daily valuation reporting.

Figure 13: Pitchbook estimate for Evergreen fund AUM forecast (USD tn)



Source(s): Pitchbook, Allianz Research. Geography: Global. Note: Note: Forecasts were generated on April 14, 2025. "Institutional evergreen" includes insurance AUM from Blackstone, KKR, Blue Owl Capital, The Carlyle Group, Ares Management, Apollo Global Management, and Brookfield.

Within diversified default options such as target-date funds, private equity is expected to dominate the growth allocation for younger cohorts, mainly through fund-of-funds or secondaries to achieve vintage diversification and reduce dispersion risk. Private credit is well placed to stabilize income for pre-retirement cohorts, focused on senior secured lending, infrastructure debt and core real-estate credit. Real assets (core real estate, infrastructure equity) will play a secondary role as inflation hedges and diversifiers, supported by established appraisal-based

valuation practices. Allocations will stay modest relative to liquid assets, typically capped at 10-15% of the default fund, to maintain daily-liquidity compliance.

The primary concerns at this stage are fiduciary risk, liquidity and valuation governance. Fiduciary exposure under ERISA remains real: sponsors must justify private-market inclusion as prudent on a net-of-fee basis, with documented due diligence and monitoring. The mismatch between daily participant flows and illiquid underlying holdings calls for hard caps, liquid sleeves and robust queue procedures, and under stress redemption gates can still be tested. A related vulnerability is the need for valuation fairness across transacting participants, which requires consistent third-party appraisal cycles, interim model-based pricing and audit transparency. Operational dependencies, recordkeeping, performance-fee calculation and participant communications introduce a layer of execution risk that must be addressed before a large-scale rollout.

For investors, the policy shift creates a durable, multi-year reallocation theme, not a short-term trade. Early strategies will favor diversified private equity and senior private credit that fit established liquidity and valuation criteria, with real assets in a supporting role. As operational systems and legal precedents mature, DC allocations to private markets could move from pilot programs to a structural component of retirement portfolios. Early participation should bring stable, long-duration capital to managers; investors should expect risk premia in yield-oriented segments to converge gradually as the DC channel scales.

Do returns justify the hype?

Whether private assets truly outperform is less straightforward than the headline numbers suggest. At first glance, the case is compelling. Over the past two decades, buyout funds have delivered net annualized returns of roughly 12-14%, against 7-9% for broad public benchmarks like the Russell 3000¹. But this obscures significant variation. Private debt has yielded steady mid- to high-single-digit returns; venture capital and real estate have been more cyclical, with periods of underperformance against public benchmarks.

The critical adjustment is leverage, and it transforms the comparison. Buyout funds typically run 50-70% loan-to-value at the initial stage to amplify equity returns; public benchmarks are unlevered. Once public markets are adjusted to comparable risk, the excess return collapses. Simulations from 2000-2024 show that a 20% buyout allocation generates only about 64bps of annual excess return over an unlevered benchmark, and roughly nothing once the benchmark is levered to match. Most of the apparent alpha turns out to be financial engineering, not investment skill².

Table 2: Private markets vs public markets (leveraged comparison, 2000–2024)

Asset Class	Portfolio Return	Benchmark (Unlevered)	Excess Return	Benchmark (Leveraged)	Excess Return (Leveraged)
Private Equity (Buyout)	7.54%	6.90%	0.64%	7.58%	-0.03%
Private Debt	7.37%	6.80%	0.57%	7.09%	0.29%
Venture Capital	5.71%	6.92%	-1.21%	,	Negative
Real Estate	6.89%	7.18%	-0.29%	,	Negative

Source: PitchBook simulations

The picture is one of conditional opportunities, not structural outperformance. Private markets can generate excess returns, but those returns are neither uniform nor guaranteed. Outcomes diverge sharply by asset class. Private debt emerges as the most consistent contributor, holding on to positive excess returns even on a leverage-adjusted basis. The buyout edge largely disappears; venture capital and real estate typically underperform. Results hinge on cycle, entry point and vintage, and the post-crisis years show notable regime sensitivity. The notion of a stable, persistent illiquidity premium is overstated; the return advantage is more fragile and context-dependent than the brochures suggest.

¹ Preqin, Burgiss, Cambridge Associates long-term private equity performance vs public benchmarks.

² PitchBook (2025), Are Private Markets Worth It?

Manager selection is the whole game. Private markets are defined less by an illiquidity premium than by a dispersion premium. Even modest selection skill, a moderately higher probability of landing in top-quartile funds, can lift total-portfolio return by 20-60bps a year, which is roughly 100-300bps of alpha inside the private allocation itself. The effect is largest in buyout and venture capital, where dispersion is widest, and smallest in private debt, where outcomes cluster. The risks of getting it wrong fall on direct and indirect investors alike, particularly those allocating at scale. Private markets reward access, discipline and underwriting capability far more than they reward passive exposure.

Table 3: Impact of manager selection skill (Average annualized alpha by strategy)

Asset Class	Underperformer Avoidance	Moderate Skill	High Skill
Private Equity (Buyout)	0.41%	0.35%	0.64%
Venture Capital	0.38%	0.32%	0.61%
Private Debt	0.25%	0.21%	0.38%
Real Estate	0.32%	0.28%	0.47%

Source: PitchBook simulations

Do retail investors get the B-product?

Three structural factors place retail vehicles on weaker terms than institutional ones. Higher fees eat into the return premium; retail investors risk being handed inferior underlying assets and in an asset class where the gap between best and worst is unusually wide, retail investors cannot meaningfully pick managers themselves. The three disadvantages compound, dragging down net returns.

Retail access comes with stacked fees that eat into the return premium. Institutional drawdown funds typically charge 1.5-2% on committed capital plus 20% carry over an 8% hurdle, and the largest LPs negotiate down within those bands, with within-fund management-fee dispersion of about 90bps. Wealth and retail vehicles carry additional cost layers, reflecting the work of getting private-market product to a broader audience: placement fees at the distribution platform, advisory fees from the adviser and a feeder-fund management fee on top of the underlying fund's economics (Table 4). Add it up and the gap between retail and institutional access often exceeds 200bps a year, enough, over a decade, to consume a meaningful share of the very illiquidity premium that justified the asset class to institutions in the first place.

Table 4: Fee layers in wealth channels

Fee type	Recipient	Purpose	Typical range	Notes
Servicing fees	Adviser (sometimes shared with brokerage)	Annual compensation for account management and client servicing	0.25% - 0.85% per year of client investment	Brokerage houses sometimes take a cut
Placement fees	Brokerage	One-time fee for offering the fund on the brokerage platform	Up to 0.5% of initial investment	Some funds cap combined servicing + placement at 0.85%
Brokerage commissions	Brokerage	Front-end commission charged at the point of sale	~2% on average (up to 3.5%)	Advisers have discretion to waive
Independent adviser fees	Independent adviser	Flat advisory fee on overall client assets	Variable (typically % of AUM)	Generally do not charge commissions or significant placement fees

Sources: FT, Allianz Research

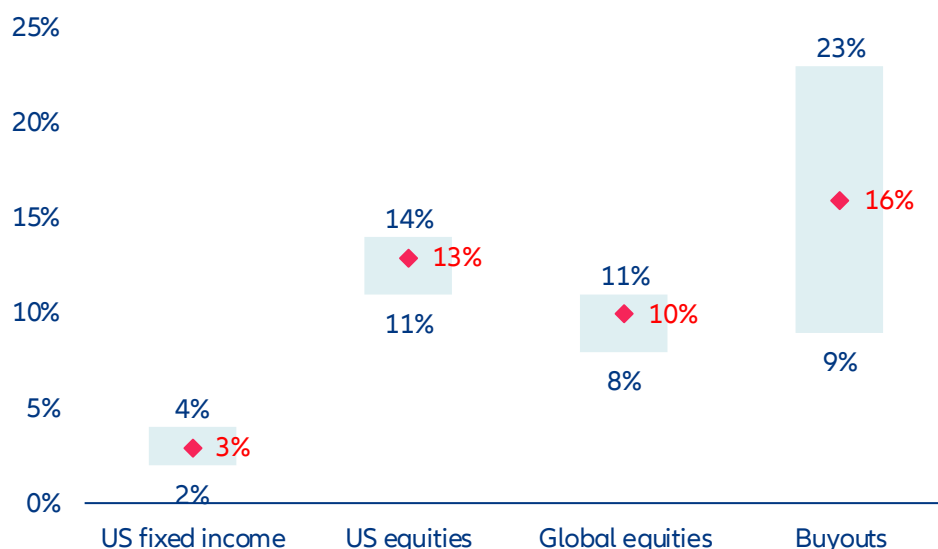
Notes: These fees sit on top of the underlying private capital fund's own management fee (typically 1.5%-2% of AUM) and performance fee (typically 20% of profits above an 8% hurdle)

Retail and institutional vehicles also tend to diverge in what they hold. Retail evergreens are naturally suited to perpetual-hold, lower-volatility assets that support NAV-based redemptions, while buy-to-exit strategies that need patient capital sit more comfortably in institutional drawdown funds. This is a structural feature of the architecture. The liquidity profile of the wrapper shapes what can sit inside it. The implication is that two vehicles carrying the same brand can deliver materially different return and risk profiles, and advisers and platforms will need to make that distinction legible. The rise of GP-led secondaries has created a channel for moving hard-to-exit assets between

funds. In these transactions, the GP is seller, buyer and valuation agent at once, an arrangement that puts the integrity of the price under strain.

The third disadvantage is the inability to choose. Manager selection is arguably the most important driver of private-market returns; the gap between top- and bottom-quartile private-equity managers is roughly 1,400bps, against around 300bps in public equity. For institutions, that dispersion is an opportunity. For retail investors, it is a risk. Mass-market participants in DC plans, insurance wrappers and platform-default products do not pick managers at all; intermediaries do, on the basis of their own incentives, including fee-sharing and distribution relationships, which can favor available managers over the most suitable ones (Figure 13).

Figure 14: Performance dispersion is especially wide for buyout funds



Sources: KKR, eVestment Alliance, Preqin, Allianz Research

Notes: Bars show median net IRRs; whiskers show first- and third-quartile thresholds. 15-year period through 31 December 2024. US equities include large- and small-cap indexes

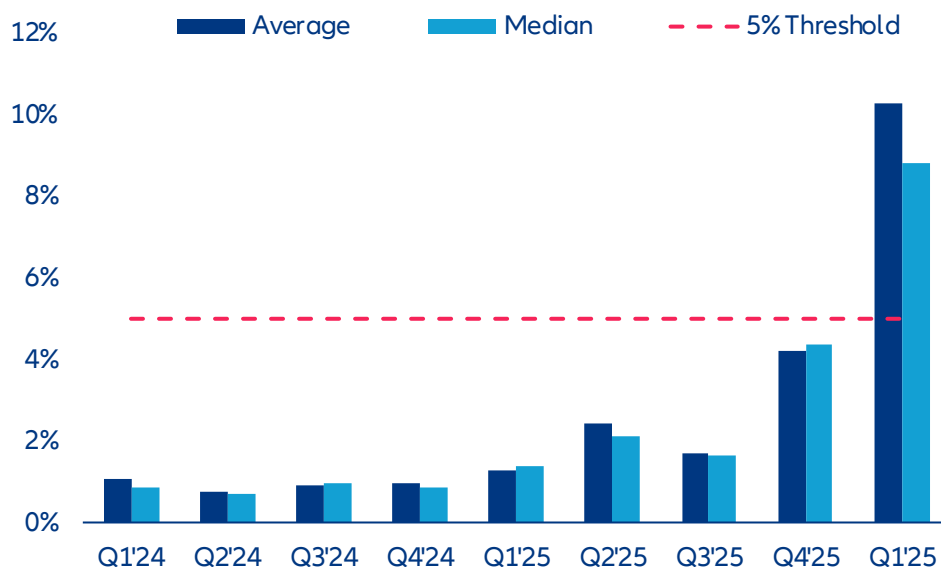
The three disadvantages mentioned above are interconnected and have a compounding effect. In order to achieve the same returns as institutions, retail investors must be willing to pay higher fees. Inferior underlying assets can negatively impact the gross return received. The inability to select top-quartile managers anchors the median retail outcome closer to the bottom of the dispersion than the top. When the effects compound, the median retail experience in an average private-market product can deliver a meaningfully lower net-of-fee return than an institutional investor in the same asset class, even though both are nominally invested in private markets. The gap is a function of product design, and well-built retail vehicles can close a portion of it.

The democratization narrative, therefore, comes with an important qualifier. Retail investors are gaining genuine access to assets that were previously out of reach, but the conditions of that access can compress the return premium that justifies the asset class in the first place. Whether the move from public to private markets pays off on a risk-adjusted basis depends on several factors: the specific product, the quality of the manager, the fee structure and the ability of the investor or adviser to distinguish well-engineered retail vehicles from those that travel less well outside the institutional setting they were designed for.

Is the “semi-liquid” promise an illusion?

An industry built on locking capital up is now selling products that promise to let it out. Retail investors face less predictable liquidity needs than institutions, and semi-liquid products try to bridge the gap with quarterly redemption windows. The bridge is narrow. Withdrawals are permitted only on set dates and after a holding period. If aggregate requests breach a preset threshold, typically 5% of NAV, the manager can invoke gates and honor only part of the request, leaving investors locked in for longer than they expected (Figure 15).

Figure 15: Redemption pressure is building for non-listed BDCs



Sources: SEC filings, Allianz Research

Notes: the data represent the mean and median redemption request rates for the eight largest non-listed BDCs

Disclosure has not always kept up with product complexity. Semi-liquid evergreens are typically marketed as a route into previously exclusive strategies, with the added convenience of periodic redemptions. Gates and conditional liquidity terms appear in the fund documentation, but get less prominence in marketing materials than the headline features. The gap between how the product behaves in calm markets and how it behaves under stress therefore surfaces only when redemption pressure rises, often to investors who had not fully absorbed the small print.

The underlying problem is that demand for liquidity peaks precisely when supply is lowest. Semi-liquid mechanisms work smoothly in normal markets. In periods of market stress, liquidity tightness or broad portfolio rebalancing, just when investors most want their money back, managers find it hardest to provide. Gates prevent the bank-run dynamic that would force fire sales and worse outcomes for everyone, but they trap investors at the worst possible time. Retail investors who expect access to their capital may discover that access depends on the same market conditions that drove them to seek it.

Once redemption pressure builds, the dynamics turn self-reinforcing. Initial requests draw headlines, which prompt more redemptions from anxious investors. Gating works as a brake, but the act of gating itself can be read as a distress signal, accelerating the next wave. If gates persist for several quarters, managers come under pressure to sell holdings or draw on subscription lines, producing losses for those who stayed and validating the concerns that drove the run. The non-traded BDC turmoil has played out exactly that way: redemptions rose, sponsors invoked caps, the caps generated more requests and gating spread across the category.

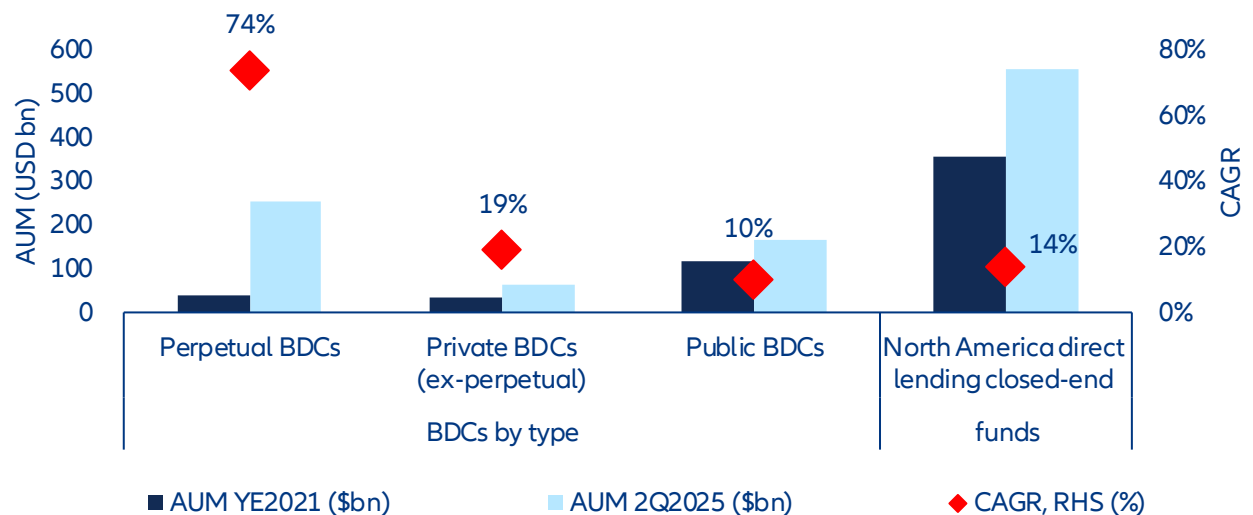
The semi-liquid promise is not an illusion; it is conditional. In normal markets, gates rarely trigger and redemptions clear smoothly. The mechanics work as intended. The case for democratization, however, depends on these structures holding up over time. The unfolding BDC episode is the first real-world stress test at scale, and a cautionary tale for the wider effort.

Box 2. The private BDC reckoning. A proof of concept for retail private credit or the proof of limits?

The Business Development Company (BDC) sector grew from USD190 bn in 2021 to over USD500bn by mid-2025, fueled by post-crisis bank retrenchment, floating-rate income and the push to bring private credit to retail and wealth-channel investors (Figure 16). The first quarter of 2026 provided the first real test of that expansion.

The result was not the broad credit crisis some had feared. It was something more telling. Wrappers designed for slow-moving institutional capital buckled when retail investors hit their limits, lagged marks and ran into limited liquidity in vehicles whose reported portfolios looked sound. This is not evidence of a failure in private credit; it is a reminder that product design, valuation architecture and investor base now matter alongside underlying credit quality. Any democratization vehicle built on periodic liquidity, manager-determined valuations and illiquid assets will carry some version of the same risk.

Figure 16. Perpetual BDCs have captured impressive AUM growth



Source Cliffwater Direct Lending Index, Preqin. As of Q2 2025

Perpetual non-traded BDCs pose a persistent design challenge. In Q1 2026, Blue Owl's technology vehicle received redemption requests totaling 40.7% of shares against a 5% quarterly cap, even though reported non-accruals were only 0.6%. The gap matters because quarterly liquidity sits on top of manager-marked, illiquid loans, giving investors an incentive to redeem before future marks absorb losses. The implication is durable: even if this queue clears, the wrapper stays vulnerable whenever confidence in reported NAV weakens.

Investors should know that reported income and reported credit quality can diverge for longer than commonly assumed. In Q4 2025, the share of private-credit loans classified as bad PIK reached 6.4%, against headline non-accrual rates of around 2%; Lincoln estimated a shadow default rate near 6%. The mechanism is straightforward: non-cash income preserves earnings optics while borrower stress is deferred, not resolved. As a result, dividend coverage, NAV stability and the perceived quality of the management team can look stronger than they really are until the recognition event arrives.

The issue is not just credit losses; it is delayed price discovery. BlackRock TCP Capital's roughly 19% NAV cut in late 2025 showed that loans previously carried near par could be repriced sharply once underlying weakness was acknowledged. This creates a feedback loop: stale marks dampen observed volatility but raise the incentive to exit before the revaluation lands. Future stress episodes are therefore likely to show up first as redemption pressure and only later as formal credit deterioration.

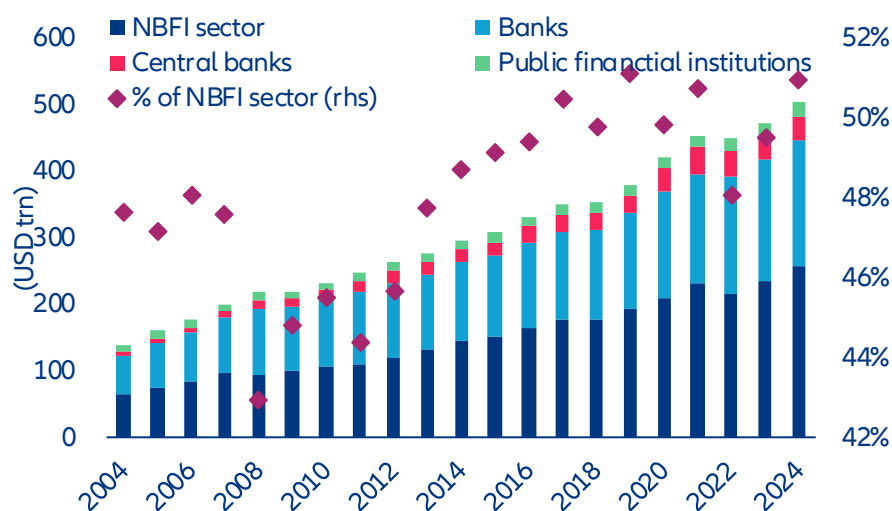
The 2026 episode points to structural vulnerability, not merely idiosyncratic manager error. According to Fitch, non-traded BDCs entered the period with lower leverage than their traded peers, yet sector-wide redemption requests for the largest vehicles averaged 12.1% in Q1 2026. The pattern suggests the pressure came from distribution and product design as much as from weak balance sheets. The implication for democratization is clear: expanding retail private credit will require a redesign of the framework, not just sharper marketing or stricter manager selection.

A new vector for systemic risk?

Even before retail money enters, private markets already inject several systemic risks into the financial system.

Start with banks. By end-2024, the non-bank financial intermediation (NBFI) sector held 51% of global financial assets (Figure 17), and the linkages have tightened: banks' credit exposure to private credit funds alone is estimated at USD270bn-500bn. In times of stress, private funds tend to draw on their committed credit lines just as banks are absorbing market volatility and rising loan losses. The drawdowns force previously off-balance-sheet exposures onto bank balance sheets, lifting capital requirements at the worst possible moment.

Figure 17: The NBFI sector has grown to 51% of global financial assets, tightening linkages with the banking system

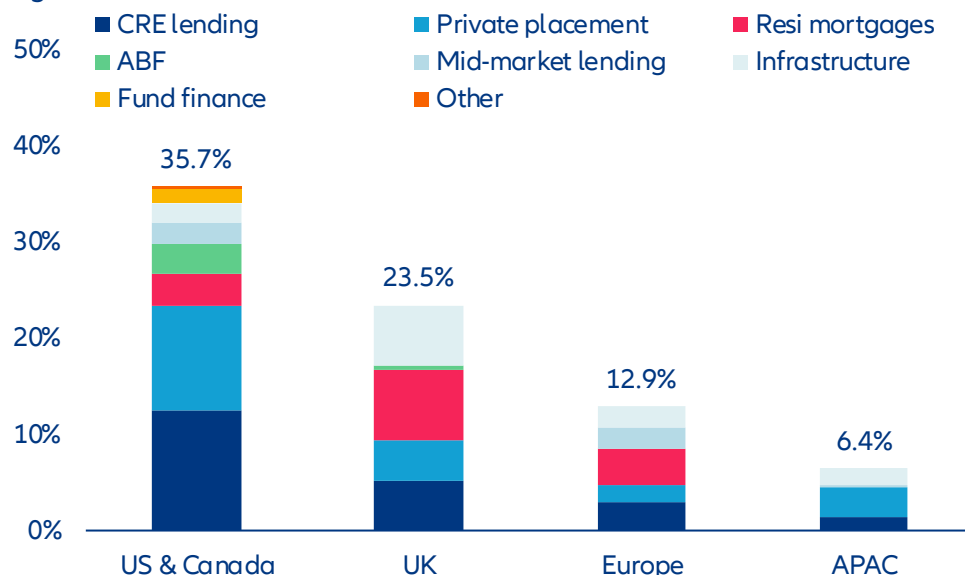


Sources: FSB, Allianz Research

Within the life sector, regulators have flagged a more specific concern: the rise of private-equity-backed insurers.

Private capital now controls roughly USD700bn of US life-insurance assets, and the market share of PE-backed insurers has climbed from 1% in 2012 to 13% by 2023. They have driven a broader shift toward private and structured credit, which now makes up 36% of North American life insurers' balance sheets (Figure 18). The IMF and the IAIS note that this subset of the industry tends to run thinner liquidity buffers and larger illiquid-credit positions than traditional, prudentially regulated life insurers. Stress at a PE-backed insurer can therefore feed pro-cyclical asset sales, as the 2023 collapse of Italy's Eurovita showed. The episode is a reminder that the case for retail private-market exposure rests on the quality of the wrapper as much as the quality of the asset, and that not all life-insurance balance sheets are built the same way.

Figure 18: Private credit accounts for 36% of North American life insurers' balance sheets



Sources: Moody's, Allianz Research

Democratization broadens these channels by tilting them toward a more reactive investor base. The institutional money that powered three decades of growth came with long horizons, contractual lock-ups and governance structures that resisted short-term liquidity pressure. Retail capital tends to chase peaks and redeem under stress, often on the same signals that drive broader volatility: news headlines, equity drawdowns, employment shocks. As retail's share of private-market AUM grows, each existing channel widens and the marginal investor becomes more skittish. The asset class may shift from absorbing market stress to amplifying it.

Democratization also introduces new risks. The mismatch between quarterly redemptions and decade-long assets revives run dynamics that the asset class had engineered away. Traditional institutional funds run on closed-end capital and multi-year commitments, which contain rapid redemption pressure: if a few funds suffer big losses, capital stays locked and sophisticated investors absorb the impact without a broader confidence shock. That mechanism weakens sharply once the investor base turns retail. Quarterly redemption rights on fundamentally illiquid assets reintroduce the maturity transformation that closed-end structures had removed. Gating can in principle prevent a bank-run dynamic, but the channels funds use to raise liquidity, credit lines and new loan issuance, are directly tied to banks and broader credit markets. If redemption pressure persists for several quarters, forced sales at distressed prices cannot be ruled out.

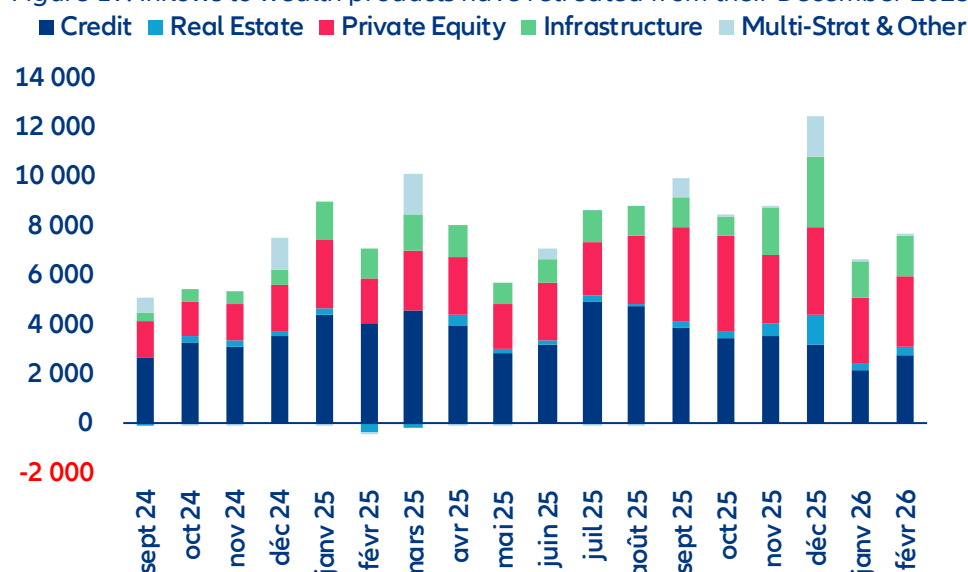
Valuation contagion is amplified when retail money is involved. Private assets are appraised by management, not by markets, and NAV marks can lag reality by several quarters. When a publicly traded vehicle holding similar private-credit loans trades at a persistent discount to its stated NAV, the market is signaling that it does not trust the valuation. That skepticism rarely stays local: it can prompt LPs to rethink commitments, lenders to tighten collateral terms and providers to pull subscription lines. Retail investors, who may not always tell well-marked vehicles from poorly-marked ones, tend to redeem indiscriminately when confidence breaks. Incentives in retail-focused funds can lean toward smoother, more optimistic NAV paths, since stable marks support both fee continuity and the credibility of the redemption mechanism. Where governance does not push back, this can build feedback loops of optimism that unwind sharply when tested.

Concentration among a handful of major managers can turn firm-level stress into a market-wide contagion. Six firms now control nearly half the retail-alternatives market, and the largest individual vehicles top USD100bn in assets. The GPs that have been most aggressive in raising retail capital also run multiple semi-liquid wrappers across product categories. Stress in one large manager's product can therefore spread quickly through correlated vehicles run by the same firm, and through the wider retail-alternatives universe, where so much AUM sits with so few entities.

What happens next?

Democratization has hit its first substantial obstacle. Inflows to wealth products at the major listed alternative managers have fallen sharply from their December 2025 peak (Figure 19). BDC sales were down roughly 40% year-on-year in early 2026, and redemption caps were triggered across major non-traded vehicles. The narrative has gone from "growth drivers" to "discipline and selectivity" in a single year.

Figure 19: Inflows to wealth products have retreated from their December 2025 peak



Sources: JP Morgan, Allianz Research

This looks like a stress test, not a fundamental shift. The BDC episode exposed real vulnerabilities in semi-liquid product design, and the fundraising slowdown reflects multi-year exit constraints and investor over-allocation. The policy scaffolding put in place over the past three years – the DOL safe-harbor rule, ELTIF 2.0 and LTAF ISA eligibility – is built and unlikely to be dismantled as the pressures that drove it – retirement-adequacy gaps, infrastructure funding needs and the hunt for broader investment opportunity – remain unresolved.

The next phase will be recalibration. Product designs are evolving in three visible directions. First, larger liquid-asset buffers inside semi-liquid wrappers, with some new launches reported to hold 25-40% in public securities to support redemptions. Second, tighter gating, longer notice periods, smaller per-quarter caps and clearer disclosure of restrictions at the point of sale. Third, a migration toward asset classes better suited to retail liquidity profiles.

The most likely structural outcome is consolidation. Mega-GPs are well placed to ride the coming wave of retail capital; smaller managers without distribution scale, brand recognition or the operational capacity to run semi-liquid wrappers will struggle to compete for retail flows. The projected parity of retail and institutional fundraising by 2030 is therefore likely to coincide with a sharp concentration of AUM among a few large managers, deepening the concentration risk noted above.

The regulatory environment has been benign so far, but the BDC turbulence will probably trigger a new round of scrutiny. Adding liquidity has resurfaced concerns that closed-end structures had previously sidestepped. Lock-ins removed deposit-like risk by stopping investors from pulling capital on demand, which limited the channels through which fund stress could spread. Open-ended structures bring back the duration mismatch and tilt the investor base toward less sophisticated participants more likely to react to market volatility. As private-markets funds push into territory once held by bank lending, regulators face a familiar dilemma: the same maturity transformation that justified the post-2008 reforms is being recreated outside the bank-regulatory perimeter, and now sold to retail investors.

Regulators themselves are divided. The SEC has explicitly rejected the idea that private credit is a systemic threat, prioritizing capital formation. The IMF, the Bank of England and the IAIS take a different view, flagging

interconnections, valuation opacity and less sophisticated investors. The disagreement is essentially about how much weight to place on tail risks that have not yet materialized.

Four developments will shape the next 12-24 months. The DOL's safe-harbor rule for 401(k) alternatives, in public comment through mid-2026, will decide whether plan sponsors get the legal certainty to offer alternatives broadly in DC plans. *Anderson v. Intel*, before the US Supreme Court in the autumn 2026 term, will decide whether ERISA fiduciary-breach claims require "meaningful benchmarks", with direct implications for plan-sponsor litigation risk. ELTIF 2.0 will get its first proper stress test as semi-liquid launches multiply and distribution widens across the EU. And the BDC gating events of early 2026 will set the tone for retail investor protection for years, depending on whether the SEC or FINRA pursues formal enforcement on point-of-sale disclosure.

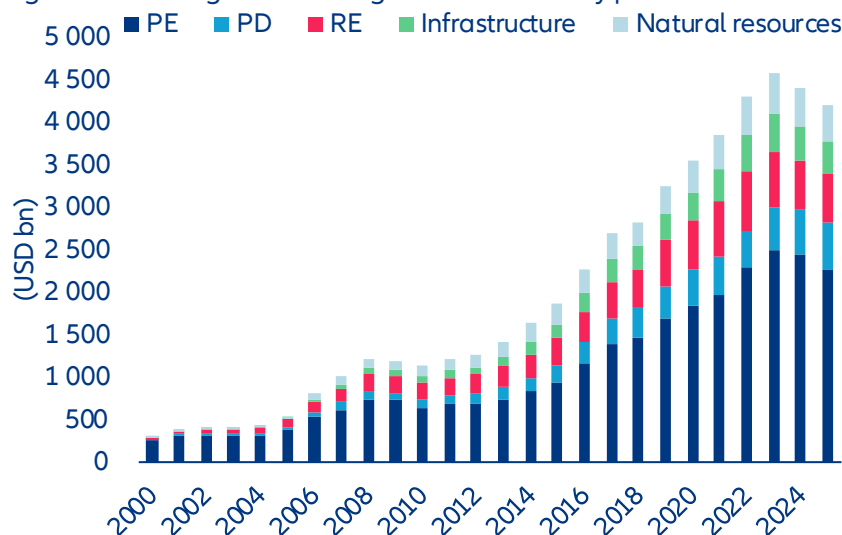
Whatever its form, the regulatory response will add cost and complexity. The BDC episode has already pushed the SEC to tighten oversight of how BDCs value illiquid holdings in falling markets. New disclosure rules, leverage limits, restrictions on retail-targeted marketing and mandatory liquidity buffers are all on the table in the major jurisdictions. Each addresses a real concern; each adds operational burden on GPs, costs that will be passed on to LPs and will erode the net-of-fee returns that justified the asset class in the first place. The deeper worry is that regulation will arrive after retail losses, eroding four decades of structural advantage.

What does this mean for investors?

Not all retail private-market vehicles are built the same way, and the distance between well-engineered and poorly-engineered product is likely to widen as the channel scales. Four markers separate the two. The first is liquidity architecture: adequate public-asset buffers, conservative gating thresholds and redemption windows calibrated to the underlying asset, rather than to the distribution channel. The second is clean separation between retail and institutional pools, so that allocation conflicts and cross-subsidies do not arise. The third is valuation governance: independent pricing, regular external review and transparency on NAV methodology. The fourth is manager selection capability, both at the GP level and, where the wrapper allows it, at the underlying-asset level. Investors and advisers will increasingly need to look past the brand and the headline strategy to these design features. For the industry, the opportunity is to build retail product that is genuinely institutional in its discipline, rather than institutional only in its marketing.

If retail capital arrives at scale, the illiquidity premium is likely to compress. Broader participation will erode the conditions that historically underpinned private-market outperformance, with more capital chasing an opportunity set that is already increasingly competitive. The pressure is acute now: managers are sitting on more than USD4trn of dry powder (Figure 20) to deploy in an environment of constrained exits and intense competition for quality deals. Institutions have historically captured the illiquidity premium through patient capital. That advantage is diluted as retail capital enters at scale.

Figure 20: Managers are sitting on USD4trn of dry powder



Sources: Preqin, Allianz Research

More fundamentally, the rise of retail products creates a structural conflict of interest in deal allocation. GPs must now spread a finite pipeline of deals across products with very different investor bases and liquidity profiles. That complicates life for institutional LPs, whose visibility on whether their interests are being protected, whether assets are being transferred between vehicles on unfavorable terms, and whether their original strategies are being reshaped to accommodate retail liquidity needs.

If GPs prioritize institutional vehicles, institutional returns are not directly compromised, but new risks emerge. Retail products receive systematically secondary deal flow while institutional LPs continue to see the most attractive transactions. A more troubling possibility is that retail vehicles end up serving as liquidity outlets for the institutional side, especially in tough exit environments, with hard-to-sell assets channeled into retail evergreens. In these trades the GP is seller, buyer and valuation agent at once, an arrangement whose integrity depends on a valuation discipline that is hard to sustain when the same firm is on both sides.

If GPs allocate deals on broadly equivalent terms across institutional and retail products, the critical question is whether retail and institutional capital is cleanly separated. In pooled vehicles, retail capital flows directly into vehicles with the same exposure as institutional LPs, which exposes institutional capital to the risk of more reactive retail behavior. In deployment, retail inflows tend to peak when valuations are high and competition for deals is fiercest, pushing GPs to deploy into transactions that would otherwise pace through. In the holding period, retail redemption pressure during market stress can force premature sales at distressed prices, with losses that institutional capital would have absorbed and recovered through patience. In distribution, the same pressure can disrupt the orderly exit timing institutional LPs rely on, with assets sold into weaker markets to meet retail liquidity needs rather than held until the optimal exit window. The institutional return premium earned from patient, locked-up capital is diluted in this scenario.

The corollary is that the firms best positioned in the next phase will be those that combine institutional underwriting with retail-aware product design: large balance sheets that can carry liquidity buffers without diluting returns, integrated insurance and asset-management capabilities that internalize valuation and governance discipline and distribution that reaches savers without adding unnecessary cost layers. For long-horizon retail investors, the structures that meet these tests are not a watered-down version of institutional product. They are a route to diversification and return outcomes that public markets, increasingly concentrated and increasingly correlated, can no longer deliver on their own.

These assessments are, as always, subject to the disclaimer provided below.

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

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